

COMMITTEE ON APPROPRIATIONS
HOUSE OF REPRESENTATIVES AMENDMENTS TO S.B. 1128
(Reference to Senate engrossed bill)

1 Strike everything after the enacting clause and insert:

2 "Section 1. Subject to the requirements of article IV, part 1,
3 section 1, Constitution of Arizona, section 36-2803.01, Arizona Revised
4 Statutes, is amended to read:

5 36-2803.01. New dispensary registration certificates;
6 issuance; priority; requirements; fee;
7 definition

8 A. EXCEPT AS PROVIDED IN SUBSECTION E OF THIS SECTION, beginning on
9 April 1, 2020, the department shall issue all new nonprofit medical
10 marijuana dispensary registration certificates in the following order of
11 priority based on the dispensary's geographic area as described in the
12 registration certificate application:

13 1. The geographic area had a registered nonprofit medical marijuana
14 dispensary move from the geographic area and the geographic area is at
15 least twenty-five miles from another dispensary that has been issued a
16 dispensary registration certificate.

17 2. The geographic area is at least twenty-five miles from another
18 dispensary that has been issued a dispensary registration certificate.

19 3. According to rule, if there are no dispensary registration
20 certificate applications as described in paragraph 1 or 2 of this
21 subsection.

22 B. If the department receives multiple applications as described in
23 subsection A, paragraph 1 of this section from previously approved
24 nonprofit medical marijuana dispensary locations, the department shall
25 approve the certificate for the application that serves the most
26 qualifying patients within five miles of the proposed dispensary location.
27 If the department receives multiple applications as described in
28 subsection A, paragraph 2 of this section or if there are no applications
29 from previously approved dispensary locations, the department may issue
30 the registration certificate by random drawing.

31 C. A nonprofit medical marijuana dispensary that receives a
32 registration certificate pursuant to subsection A, paragraph 1 or 2 OR
33 SUBSECTION E of this section on or after April 1, 2020 must open the
34 dispensary at the approved location within eighteen months after the
35 application is approved or the registration certificate becomes invalid.

36 D. A nonprofit medical marijuana dispensary that is issued a
37 registration certificate pursuant to subsection A, paragraph 1 or 2 of
38 this section may relocate only as follows:

1 1. If the dispensary is located within a city or town, only within
2 that city or town.

3 2. If the dispensary is located within an unincorporated area, only
4 within the unincorporated area of the county where the dispensary is
5 located but not within twenty-five miles from another dispensary that has
6 been issued a dispensary registration certificate.

7 E. NOTWITHSTANDING ANY OTHER PROVISION OF THIS CHAPTER, THE
8 DEPARTMENT SHALL ISSUE A NONPROFIT MEDICAL MARIJUANA DISPENSARY
9 REGISTRATION CERTIFICATE TO EACH ENTITY THAT IS ISSUED A MARIJUANA
10 ESTABLISHMENT LICENSE PURSUANT TO SECTION 36-2854, SUBSECTION A, PARAGRAPH
11 1, SUBDIVISION (g) AND ALLOW THESE REGISTRATION CERTIFICATE HOLDERS TO
12 APPLY TO RELOCATE THEIR RETAIL LOCATION ONLY TO ANOTHER PROPERTY IN THEIR
13 UNSERVED RURAL COMMUNITY OR TO ANOTHER UNSERVED RURAL COMMUNITY IN
14 ACCORDANCE WITH SECTION 36-2857.01. THE DEPARTMENT MAY ESTABLISH A FEE
15 FOR A RELOCATION APPLICATION THAT IS SUBMITTED PURSUANT TO THIS
16 SUBSECTION.

17 ~~E.~~ F. For the purposes of this section, "geographic area" means a
18 city, town or unincorporated area of a county.

19 Sec. 2. Subject to the requirements of article IV, part 1,
20 section 1, Constitution of Arizona, section 36-2854, Arizona Revised
21 Statutes, is amended to read:

22 36-2854. Rules; licensing; early applicants; fees; civil
23 penalty; legal counsel

24 A. The department shall adopt rules to implement and enforce this
25 chapter and regulate marijuana, marijuana products, marijuana
26 establishments and marijuana testing facilities. Those rules shall
27 include requirements for:

28 1. Licensing marijuana establishments and marijuana testing
29 facilities, including conducting investigations and background checks to
30 determine eligibility for licensing for marijuana establishment and
31 marijuana testing facility applicants, except that:

32 (a) An application for a marijuana establishment license or
33 marijuana testing facility license may not require the disclosure of the
34 identity of any person who is entitled to a share of less than ten percent
35 of the profits of an applicant that is a publicly traded corporation.

36 (b) The department may not issue more than one marijuana
37 establishment license for every ten pharmacies that have registered under
38 section 32-1929, that have obtained a pharmacy permit from the Arizona
39 board of pharmacy and that operate within this state.

40 (c) Notwithstanding subdivision (b) of this paragraph, the
41 department may issue a marijuana establishment license to not more than
42 two marijuana establishments per county that contains no registered
43 nonprofit medical marijuana dispensaries, or one marijuana establishment
44 license per county that contains one registered nonprofit medical
45 marijuana dispensary. Any license issued pursuant to this subdivision
46 shall be for a fixed county and may not be relocated outside of that
47 county.

1 (d) The department shall accept applications for marijuana
2 establishment licenses from early applicants beginning January 19, 2021
3 through March 9, 2021. Not later than sixty days after receiving an
4 application pursuant to this subdivision, the department shall issue a
5 marijuana establishment license to each qualified early applicant. If the
6 department has not adopted final rules pursuant to this section at the
7 time marijuana establishment licenses are issued pursuant to this
8 subdivision, licensees shall comply with the rules adopted by the
9 department to implement chapter 28.1 of this title except those that are
10 inconsistent with this chapter.

11 (e) After issuing marijuana establishment licenses to qualified
12 early applicants, the department shall issue marijuana establishment
13 licenses available under subdivisions (b) and (c) of this paragraph by
14 random selection and according to rules adopted pursuant to this section.
15 At least sixty days before any random selection, the department shall
16 prominently publicize the random selection on its website and through
17 other means of general distribution intended to reach as many interested
18 parties as possible and shall provide notice through an email notification
19 system to which interested parties can subscribe.

20 (f) Notwithstanding subdivisions (b) and (c) of this paragraph, and
21 not later than six months after the department adopts final rules to
22 implement a social equity ownership program pursuant to paragraph 9 of
23 this subsection, the department shall issue twenty-six additional
24 marijuana establishment licenses to entities that are qualified pursuant
25 to the social equity ownership program.

26 (g) NOTWITHSTANDING SUBDIVISIONS (b) AND (c) OF THIS PARAGRAPH, THE
27 DEPARTMENT SHALL ISSUE A MARIJUANA ESTABLISHMENT LICENSE TO EACH ENTITY
28 THAT IS QUALIFIED PURSUANT TO THE RURAL OPPORTUNITY INITIATIVE. THE
29 LICENSES ISSUED PURSUANT TO THIS SUBDIVISION SHALL BE FOR A FIXED
30 COMMUNITY THAT HAS NOT OPTED OUT OF THE RURAL OPPORTUNITY INITIATIVE, AND
31 THE ENTITY'S RETAIL LOCATION MAY BE RELOCATED ONLY TO AN UNSERVED RURAL
32 COMMUNITY IN ACCORDANCE WITH SECTION 36-2857.01. THE DEPARTMENT MAY NOT
33 ISSUE MORE THAN EIGHTEEN MARIJUANA ESTABLISHMENT LICENSES PURSUANT TO THIS
34 SUBDIVISION.

35 ~~(g)~~ (h) Licenses issued by the department to marijuana
36 establishments and marijuana testing facilities shall be valid for a
37 period of two years. A dual licensee's initial renewal date, which will
38 be the ongoing renewal date for both the dual licensee's marijuana
39 establishment license and nonprofit medical marijuana dispensary
40 registration, is the earlier of:

41 (i) The date of the marijuana establishment license renewal.

42 (ii) The date of the nonprofit medical marijuana dispensary
43 registration renewal.

44 ~~(h)~~ (i) The department may not issue a marijuana establishment or
45 marijuana testing facility license to an applicant who has an ownership
46 interest in an out-of-state marijuana establishment or marijuana testing

1 facility, or the other state's equivalent, that has had its license
2 revoked by the other state.

3 2. Licensing fees and renewal fees for marijuana establishments and
4 marijuana testing facilities in amounts that are reasonable and related to
5 the actual cost of processing applications for licenses and renewals and
6 that do not exceed five times the fees prescribed by the department to
7 register or renew a nonprofit medical marijuana dispensary.

8 3. The security of marijuana establishments and marijuana testing
9 facilities.

10 4. Marijuana establishments to safely cultivate, process and
11 manufacture marijuana and marijuana products. The department shall
12 require licensees to procure, develop, acquire and maintain a system to
13 track marijuana and marijuana products at all points of cultivation,
14 manufacturing and sale. The system developed and maintained pursuant to
15 this paragraph shall:

16 (a) Ensure an accurate accounting and reporting of the production,
17 processing and sale of marijuana and marijuana products.

18 (b) Ensure compliance with rules adopted by the department.

19 (c) Be capable of tracking, at a minimum:

20 (i) The propagation of immature marijuana plants and the production
21 of marijuana by a marijuana establishment.

22 (ii) The processing of marijuana and marijuana products by a
23 marijuana establishment.

24 (iii) The sale and purchase of marijuana and marijuana products
25 between licensees.

26 (iv) The transfer of marijuana and marijuana products between
27 premises for which licenses have been issued.

28 (v) The disposal of marijuana waste.

29 (vi) The identity of the person making the entry in the system and
30 the time, date and location of each entry into the system, including any
31 corrections or changes to that information.

32 (vii) Any other information that the department determines is
33 reasonably necessary to accomplish the duties, functions and powers of the
34 department.

35 (d) Contain a transactional stamp to ensure accuracy, provide for
36 chain of custody of the information and foreclose tampering of the data,
37 human error or intentional misreporting.

38 5. Tracking, testing, labeling consistent with section 36-2854.01
39 and packaging marijuana and marijuana products, including requirements
40 that marijuana and marijuana products be:

41 (a) Sold to consumers in clearly and conspicuously labeled
42 containers that contain accurate warnings regarding the use of marijuana
43 or marijuana products.

44 (b) Placed in child-resistant packaging on exit from a marijuana
45 establishment.

46 6. Forms of government-issued identification that are acceptable by
47 a marijuana establishment verifying a consumer's age and procedures

1 related to verifying a consumer's age consistent with section 4-241.
2 Until the department adopts final rules related to verifying a consumer's
3 age, marijuana establishments shall comply with the proof of legal age
4 requirements prescribed in section 4-241.

5 7. The potency of edible marijuana products that may be sold to
6 consumers by marijuana establishments at reasonable levels on
7 consideration of industry standards, except that the rules:

8 (a) Shall limit the strength of edible marijuana products to not
9 more than ten milligrams of tetrahydrocannabinol per serving or one
10 hundred milligrams of tetrahydrocannabinol per package.

11 (b) Shall require that if a marijuana product contains more than
12 one serving, it must be delineated or scored into standard serving sizes
13 and homogenized to ensure uniform disbursement throughout the marijuana
14 product.

15 8. Ensuring the health, safety and training of employees of
16 marijuana establishments and marijuana testing facilities.

17 9. The creation and implementation of a social equity ownership
18 program to promote the ownership and operation of marijuana establishments
19 and marijuana testing facilities by individuals from communities
20 disproportionately impacted by the enforcement of previous marijuana laws.

21 10. Prohibiting a marijuana testing facility from having any direct
22 or indirect familial relationship with or financial ownership interest in
23 a marijuana establishment or related marijuana business entity or
24 management company. The rules shall include prohibiting a marijuana
25 establishment from having any direct or indirect familial relationship
26 with or financial ownership interest in a marijuana testing facility or
27 related marijuana business entity or management company.

28 11. Requiring marijuana establishments to display in a conspicuous
29 location a sign that warns pregnant women about the potential dangers to
30 fetuses caused by smoking or ingesting marijuana while pregnant or to
31 infants while breastfeeding and the risk of being reported to the
32 department of child safety during pregnancy or at the birth of the child
33 by persons who are required to report. The rules shall include the
34 specific warning language that must be included on the sign. The cost and
35 display of the sign required by rule shall be borne by the marijuana
36 establishment.

37 B. The department may:

38 1. Subject to title 41, chapter 6, article 10, deny any application
39 submitted or deny, suspend or revoke, in whole or in part, any
40 registration or license issued under this chapter if the registered or
41 licensed party or an officer, agent or employee of the registered or
42 licensed party does any of the following:

43 (a) Violates this chapter or any rule adopted pursuant to this
44 chapter.

45 (b) Has been, is or may continue to be in substantial violation of
46 the requirements for licensing or registration and, as a result, the
47 health or safety of the general public is in immediate danger.

1 2. Subject to title 41, chapter 6, article 10, and unless another
2 penalty is provided elsewhere in this chapter, assess a civil penalty
3 against a person that violates this chapter or any rule adopted pursuant
4 to this chapter in an amount not to exceed \$2,000 for each violation.
5 Each day a violation occurs constitutes a separate violation. In
6 determining the amount of a civil penalty assessed against a person, the
7 department shall consider all of the factors set forth in section 36-2816,
8 subsection H. All civil penalties collected by the department pursuant to
9 this paragraph shall be deposited in the smart and safe Arizona fund
10 established by section 36-2856.

11 3. At any time during regular hours of operation, visit and inspect
12 a marijuana establishment, marijuana testing facility or dual licensee to
13 determine if it complies with this chapter and rules adopted pursuant to
14 this chapter. The department shall make at least one unannounced visit
15 annually to each facility licensed pursuant to this chapter.

16 4. Adopt any other rules that are not expressly stated in this
17 section and that are necessary to ensure the safe and responsible
18 cultivation, sale, processing, manufacture, testing and transport of
19 marijuana and marijuana products.

20 C. Until the department adopts rules allowing and regulating
21 delivery by marijuana establishments pursuant to subsection D of this
22 section, delivery is unlawful under this chapter.

23 D. On or after January 1, 2023, the department may, and not later
24 than January 1, 2025 the department shall, adopt rules to allow and
25 regulate delivery by marijuana establishments. The rules shall:

26 1. Require that delivery and the marijuana and marijuana products
27 to be delivered originate from a designated retail location of a marijuana
28 establishment and only after an order is made with the marijuana
29 establishment by a consumer. The rules may not limit the distance between
30 the delivery location and the originating designated retail location of
31 the marijuana establishment.

32 2. Prohibit delivery to any property owned or leased by the United
33 States, this state, a political subdivision of this state or the Arizona
34 board of regents.

35 3. Limit the amount of marijuana and marijuana products based on
36 retail price that may be in a delivery vehicle during a single trip from
37 the designated retail location of a marijuana establishment.

38 4. Prohibit extra or unallocated marijuana or marijuana products in
39 delivery vehicles.

40 5. Require that deliveries be made only by marijuana facility
41 agents in unmarked vehicles that are equipped with a global positioning
42 system or similar location tracking system and video surveillance and
43 recording equipment, and that contain a locked compartment in which
44 marijuana and marijuana products must be stored. The rules may not limit
45 the number of vehicles that a marijuana establishment may use for
46 delivery.

1 6. Require delivery logs necessary to ensure compliance with this
2 subsection and rules adopted pursuant to this subsection.

3 7. Require inspections to ensure compliance with this subsection
4 and rules adopted pursuant to this subsection.

5 8. Include any other provisions necessary to ensure safe and
6 restricted delivery.

7 9. Require dual licensees to comply with the rules adopted pursuant
8 to this subsection.

9 E. Except as provided in subsection D of this section, the
10 department may not allow delivery of marijuana or marijuana products under
11 this chapter by any individual or entity. In addition to any other
12 penalty imposed by law, an individual or entity that delivers marijuana or
13 marijuana products in a manner that is not authorized by this chapter
14 shall pay a civil penalty of \$20,000 per violation to the smart and safe
15 Arizona fund established by section 36-2856. This subsection may be
16 enforced by the attorney general.

17 F. All rules adopted by the department pursuant to this section
18 shall be consistent with the purpose of this chapter.

19 G. The department may not adopt any rule that:

20 1. Prohibits the operation of marijuana establishments, either
21 expressly or through requirements that make the operation of a marijuana
22 establishment unduly burdensome.

23 2. Prohibits or interferes with the ability of a dual licensee to
24 operate a marijuana establishment and a nonprofit medical marijuana
25 dispensary at shared locations.

26 H. Notwithstanding section 41-192, the department may employ legal
27 counsel and make an expenditure or incur an indebtedness for legal
28 services for the purposes of:

29 1. Defending this chapter or rules adopted pursuant to this
30 chapter.

31 2. Defending chapter 28.1 of this title or rules adopted pursuant
32 to chapter 28.1 of this title.

33 I. The department shall deposit all license fees, application fees
34 and renewal fees paid to the department pursuant to this chapter in the
35 smart and safe Arizona fund established by section 36-2856.

36 J. On request, the department of health services shall share with
37 the department of revenue information regarding a marijuana establishment,
38 marijuana testing facility or dual licensee, including its name, physical
39 address, cultivation site and transaction privilege tax license number.

40 K. Notwithstanding any other law, the department may:

41 1. License an independent third-party laboratory to also operate as
42 a marijuana testing facility.

43 2. Operate a marijuana testing facility.

44 L. The department shall maintain and publish a current list of all
45 marijuana establishments and marijuana testing facilities by name and
46 license number.

1 M. Notwithstanding any other law, the issuance of an occupational,
2 professional or other regulatory license or certification to a person by a
3 jurisdiction or regulatory authority outside this state does not entitle
4 that person to be issued a marijuana establishment license, a marijuana
5 testing facility license, or any other license, registration or
6 certification under this chapter.

7 N. Until the department adopts rules as required by subsection A,
8 paragraph 10 of this section:

9 1. A marijuana testing facility is prohibited from having any
10 direct or indirect familial relationship with or financial ownership
11 interest in a marijuana establishment or related marijuana business entity
12 or management company.

13 2. A marijuana establishment is prohibited from having any direct
14 or indirect familial relationship with or financial ownership interest in
15 a marijuana testing facility or related marijuana business entity or
16 management company.

17 Sec. 3. Subject to the requirements of article IV, part 1,
18 section 1, Constitution of Arizona, title 36, chapter 28.2, Arizona
19 Revised Statutes, is amended by adding section 36-2857.01, to read:

20 36-2857.01. Rural opportunity initiative; applicant
21 requirements; opt out; department notification;
22 fees; posting requirements; definitions

23 A. THE RURAL OPPORTUNITY INITIATIVE IS ESTABLISHED TO CREATE TAX
24 REVENUE AND ECONOMIC OPPORTUNITIES FOR UNSERVED RURAL COMMUNITIES THROUGH
25 THE ISSUANCE OF NOT MORE THAN EIGHTEEN MARIJUANA ESTABLISHMENT LICENSES
26 PURSUANT TO SECTION 36-2854, SUBSECTION A, PARAGRAPH 1, SUBDIVISION (g)
27 AND NOT MORE THAN EIGHTEEN NONPROFIT MEDICAL MARIJUANA DISPENSARY
28 REGISTRATION CERTIFICATES PURSUANT TO SECTION 36-2803.01, SUBSECTION E, TO
29 CREATE NOT MORE THAN EIGHTEEN ADDITIONAL DUAL LICENSEES.

30 B. THE DEPARTMENT MAY ESTABLISH MINISTERIAL TEMPLATES AND
31 ELECTRONIC SUBMISSION SYSTEMS TO ACCEPT FILINGS UNDER THIS SECTION. ANY
32 TEMPLATE OR ELECTRONIC FORMAT MAY REQUEST ONLY THE INFORMATION AND
33 DOCUMENTATION EXPRESSLY REQUIRED BY THIS SECTION.

34 C. THE DEPARTMENT SHALL POST AND MAINTAIN ON THE DEPARTMENT'S
35 PUBLIC WEBSITE ALL OF THE FOLLOWING:

36 1. A CURRENT LIST OF UNSERVED RURAL COMMUNITIES THAT HAVE OPTED OUT
37 UNDER SUBSECTION D OF THIS SECTION.

38 2. A CURRENT LIST OF UNSERVED RURAL COMMUNITIES FOR WHICH THE
39 DEPARTMENT HAS ISSUED A LICENSE UNDER THIS SECTION.

40 3. INSTRUCTIONS FOR SUBMITTING AN OPT-OUT ACTION AND FOR SUBMITTING
41 AN APPLICATION UNDER THIS SECTION.

42 4. AFTER EIGHTEEN MARIJUANA ESTABLISHMENT LICENSES HAVE BEEN ISSUED
43 PURSUANT TO SECTION 36-2854, SUBSECTION A, PARAGRAPH 1, SUBDIVISION (g), A
44 NOTICE THAT NO ADDITIONAL LICENSES ARE AVAILABLE UNDER THE RURAL
45 OPPORTUNITY INITIATIVE.

1 D. EXCEPT AS PROVIDED IN PARAGRAPH 3 OF THIS SUBSECTION, AN
2 UNSERVED RURAL COMMUNITY MAY OPT OUT OF THE RURAL OPPORTUNITY INITIATIVE
3 AS FOLLOWS:

4 1. A CITY OR TOWN MAY OPT OUT OF PARTICIPATION IN THE RURAL
5 OPPORTUNITY INITIATIVE BY SUBMITTING TO THE DEPARTMENT A CERTIFIED COPY OF
6 A RESOLUTION OR ORDINANCE ADOPTED BY THE CITY OR TOWN GOVERNING BODY THAT
7 STATES THE CITY'S OR TOWN'S INTENT TO OPT OUT.

8 2. A COUNTY MAY OPT OUT OF PARTICIPATION IN THE RURAL OPPORTUNITY
9 INITIATIVE ON BEHALF OF A CENSUS-DESIGNATED AREA IN THE COUNTY, BUT NOT ON
10 BEHALF OF A CITY OR TOWN, BY SUBMITTING TO THE DEPARTMENT A CERTIFIED COPY
11 OF A RESOLUTION ADOPTED BY THE BOARD OF SUPERVISORS THAT STATES THE
12 COUNTY'S INTENT TO OPT OUT ON BEHALF OF THE CENSUS-DESIGNATED AREA.

13 3. THE ACTION TAKEN BY A CITY, TOWN OR COUNTY, ON BEHALF OF A
14 CENSUS-DESIGNATED AREA, TO OPT OUT OF PARTICIPATION IN THE RURAL
15 OPPORTUNITY INITIATIVE IS EFFECTIVE FOR THE PURPOSES OF THIS SECTION ONLY
16 IF RECEIVED BY THE DEPARTMENT AT LEAST ONE MONTH BEFORE THE DEPARTMENT
17 ACCEPTS APPLICATIONS PURSUANT TO SECTION 36-2854, SUBSECTION A, PARAGRAPH
18 1, SUBDIVISION (g). AN ACTION TAKEN BY A CITY, TOWN OR COUNTY TO OPT OUT
19 OF PARTICIPATION IN THE RURAL OPPORTUNITY INITIATIVE THAT IS RECEIVED LESS
20 THAN ONE MONTH BEFORE THE DEPARTMENT ACCEPTS APPLICATIONS PURSUANT TO
21 SECTION 36-2854, SUBSECTION A, PARAGRAPH 1, SUBDIVISION (g) IS NOT VALID
22 AND DOES NOT AFFECT THE VALIDITY OF A LICENSE OR REGISTRATION CERTIFICATE
23 THAT IS ISSUED DURING THE APPLICATION PERIOD THAT STARTS ONE MONTH AFTER
24 THE DEADLINE.

25 E. BEGINNING APRIL 1, 2027 THROUGH APRIL 14, 2027, THE DEPARTMENT
26 SHALL ACCEPT APPLICATIONS FOR MARIJUANA ESTABLISHMENT LICENSES PURSUANT TO
27 SECTION 36-2854, SUBSECTION A, PARAGRAPH 1, SUBDIVISION (g) ONLY THROUGH
28 AN ELECTRONIC SUBMISSION SYSTEM THAT TIME-STAMPS EACH SUBMISSION TO THE
29 SECOND AND PROVIDES THE APPLICANT WITH AN ELECTRONIC RECEIPT. IF FEWER
30 THAN EIGHTEEN LICENSES ARE ISSUED PURSUANT TO APPLICATIONS SUBMITTED IN
31 2027, THE DEPARTMENT SHALL ACCEPT APPLICATIONS AGAIN ONE YEAR AFTER THE
32 FINAL LICENSE IS ISSUED FROM THE APPLICATIONS SUBMITTED DURING 2027.

33 F. TO APPLY FOR A MARIJUANA ESTABLISHMENT LICENSE PURSUANT TO
34 SECTION 36-2854, SUBSECTION A, PARAGRAPH 1, SUBDIVISION (g), AN APPLICANT
35 SHALL SUBMIT ALL OF THE FOLLOWING INFORMATION TO THE DEPARTMENT IN A
36 FORMAT PRESCRIBED BY THE DEPARTMENT:

37 1. THE APPLICANT'S:

38 (a) LEGAL NAME.

39 (b) MAILING ADDRESS IN THIS STATE.

40 (c) TELEPHONE NUMBER.

41 (d) EMAIL ADDRESS.

42 2. THE BUSINESS ORGANIZATION TYPE OF THE APPLICANT AND THE STATE OR
43 JURISDICTION OF FORMATION, IF APPLICABLE.

44 3. THE PHYSICAL ADDRESS OF THE PROPOSED RETAIL LOCATION AND THE
45 COUNTY IN WHICH THE PROPOSED RETAIL LOCATION IS LOCATED.

46 4. THE IDENTIFICATION OF THE UNSERVED RURAL COMMUNITY THE APPLICANT
47 SEEKS TO SERVE.

1 5. THE NAME, RESIDENCE ADDRESS, DATE OF BIRTH, TITLE OR POSITION,
2 AND CONTACT INFORMATION OF EACH PRINCIPAL OFFICER AND EACH BOARD MEMBER OF
3 THE APPLICANT.

4 6. THE NAME, RESIDENCE ADDRESS AND DATE OF BIRTH, IF APPLICABLE, OF
5 ANY PERSON WHO IS ENTITLED TO A SHARE OF AT LEAST TEN PERCENT OF THE
6 PROFITS OF THE APPLICANT. AN APPLICATION MAY NOT REQUIRE THE DISCLOSURE
7 OF THE IDENTITY OF ANY PERSON WHO IS ENTITLED TO A SHARE OF LESS THAN TEN
8 PERCENT OF THE PROFITS OF AN APPLICANT THAT IS A PUBLICLY TRADED
9 CORPORATION.

10 7. THE NAME AND MAILING ADDRESS OF A REFUND RECIPIENT WHO MAY BE AN
11 INDIVIDUAL RESIDING IN THIS STATE, INCLUDING A STATUTORY AGENT IN THIS
12 STATE OR AN ATTORNEY WHO IS LICENSED IN THIS STATE AND WHO MAINTAINS A
13 TRUST ACCOUNT, TO RECEIVE A REFUND THAT MAY BE PROVIDED UNDER SUBSECTION J
14 OF THIS SECTION.

15 8. WHETHER THE APPLICANT AGREES TO ALLOW THE DEPARTMENT TO SUBMIT
16 SUPPLEMENTAL REQUESTS FOR INFORMATION.

17 9. AN ATTESTATION, SIGNED UNDER PENALTY OF PERJURY BY A PRINCIPAL
18 OFFICER, THAT:

19 (a) THE APPLICANT AND EACH PERSON IDENTIFIED PURSUANT TO PARAGRAPH
20 5 OR 6 OF THIS SUBSECTION HAS NOT BEEN CONVICTED OF AN EXCLUDED FELONY
21 OFFENSE.

22 (b) THE APPLICANT AND EACH PERSON IDENTIFIED PURSUANT TO PARAGRAPH
23 5 OR 6 OF THIS SUBSECTION DOES NOT HAVE AN OWNERSHIP INTEREST IN AN
24 OUT-OF-STATE MARIJUANA ESTABLISHMENT, MARIJUANA TESTING FACILITY OR
25 SIMILAR ENTITY THAT HAS HAD ITS LICENSE TO POSSESS MARIJUANA FOR
26 COMMERCIAL PURPOSES REVOKED.

27 (c) THE APPLICANT UNDERSTANDS AND WILL COMPLY WITH THE REQUIREMENTS
28 OF THIS CHAPTER AND CHAPTER 28.1 OF THIS TITLE AND THE DEPARTMENT'S RULES
29 FOR ADMINISTERING THIS CHAPTER AND CHAPTER 28.1 OF THIS TITLE, INCLUDING
30 THE PROHIBITION ON RELOCATING THE RETAIL LOCATION THAT IS ASSOCIATED WITH
31 A LICENSE ISSUED UNDER THIS SECTION TO A GEOGRAPHIC AREA THAT DOES NOT
32 QUALIFY AS AN UNSERVED RURAL COMMUNITY.

33 (d) THE APPLICANT WAIVES AND RELEASES TO THE FULLEST EXTENT ALLOWED
34 BY LAW ANY CLAIM AGAINST THIS STATE, THE DEPARTMENT AND THE DEPARTMENT'S
35 OFFICERS, EMPLOYEES AND AGENTS FOR MONETARY DAMAGES, ATTORNEY FEES AND
36 COSTS RESULTING FROM OR RELATING TO THE APPLICATION OR OTHER ACTIONS UNDER
37 THIS SECTION WITHOUT LIMITING THE APPLICANT'S RIGHT TO SEEK ADMINISTRATIVE
38 OR JUDICIAL REVIEW OF A FINAL ADMINISTRATIVE DECISION PURSUANT TO TITLE
39 41, CHAPTER 6, ARTICLE 10.

40 (e) THE INFORMATION SUBMITTED IS TRUE, COMPLETE AND NOT MISLEADING.

41 G. IN ADDITION TO THE INFORMATION REQUIRED BY SUBSECTION F OF THIS
42 SECTION, AN APPLICANT SHALL SUBMIT DOCUMENTATION OF ALL OF THE FOLLOWING
43 FOR THE PROPOSED RETAIL LOCATION:

44 1. FOR EACH PRINCIPAL OFFICER AND EACH BOARD MEMBER OF THE
45 APPLICANT, DOCUMENTATION OF THE PRINCIPAL OFFICER'S OR BOARD MEMBER'S
46 MARIJUANA FACILITY AGENT LICENSE.

1 2. DOCUMENTATION THAT THE APPLICANT IS IN GOOD STANDING WITH THE
2 CORPORATION COMMISSION, IF APPLICABLE.

3 3. DOCUMENTATION IN A FORM PRESCRIBED BY THE DEPARTMENT THAT IS
4 ENTITLED "DOCUMENTATION OF PROPERTY OWNERSHIP FOR RURAL OPPORTUNITY
5 INITIATIVE APPLICATIONS" FROM THE OWNER OR AUTHORIZED LEGAL REPRESENTATIVE
6 OF THE OWNER OF THE PROPERTY INTENDED TO SERVE AS THE APPLICANT'S RETAIL
7 LOCATION THAT:

8 (a) AUTHORIZES USE OF THE PROPERTY AS A MARIJUANA RETAIL LOCATION
9 OPERATING PURSUANT TO BOTH A MARIJUANA ESTABLISHMENT LICENSE AND A
10 NONPROFIT MEDICAL MARIJUANA DISPENSARY REGISTRATION CERTIFICATE.

11 (b) CONTAINS AN ATTESTATION UNDER PENALTY OF PERJURY THAT THE
12 PROPERTY OWNER OR AUTHORIZED LEGAL REPRESENTATIVE OF THE PROPERTY OWNER,
13 AS APPLICABLE, HAS NOT EXECUTED DOCUMENTATION IN THE SAME
14 DEPARTMENT-PRESCRIBED FORMAT THAT AUTHORIZES ANOTHER PERSON TO USE THE
15 PROPERTY AS A MARIJUANA RETAIL LOCATION AND HAS NOT AGREED TO PROVIDE
16 ANOTHER INDIVIDUAL WITH A RIGHT TO USE THE PROPERTY IDENTIFIED IN THE
17 DOCUMENTATION IN CONNECTION WITH AN APPLICATION PURSUANT TO THIS SECTION.

18 (c) IS SIGNED, NOTARIZED AND DATED NOT MORE THAN SIXTY DAYS BEFORE
19 THE APPLICATION IS SUBMITTED.

20 4. WRITTEN DOCUMENTATION ISSUED BY THE LOCAL JURISDICTION WITH LAND
21 USE AUTHORITY OVER THE PROPOSED RETAIL LOCATION SHOWING THAT THE PROPOSED
22 RETAIL LOCATION COMPLIES WITH LOCAL ZONING RESTRICTIONS APPLICABLE TO A
23 MARIJUANA RETAIL LOCATION OF A DUAL LICENSEE.

24 H. THE DEPARTMENT SHALL REVIEW AND APPROVE OR DENY APPLICATIONS FOR
25 MARIJUANA ESTABLISHMENT LICENSES PURSUANT TO SECTION 36-2854, SUBSECTION
26 A, PARAGRAPH 1, SUBDIVISION (g) AS FOLLOWS:

27 1. WITHIN THIRTY WORKING DAYS AFTER RECEIVING AN APPLICATION, THE
28 DEPARTMENT SHALL EITHER:

29 (a) PROVIDE THE APPLICANT WITH WRITTEN NOTICE THAT THE APPLICATION
30 IS ADMINISTRATIVELY COMPLETE AND HAS ENTERED SUBSTANTIVE REVIEW.

31 (b) PROVIDE THE APPLICANT WITH WRITTEN NOTICE OF ANY DEFICIENCIES
32 IN THE APPLICATION, INCLUDING A LIST OF THE INFORMATION OR DOCUMENTS
33 REQUIRED BY THIS SECTION THAT ARE MISSING OR INCOMPLETE.

34 2. AN APPLICANT SHALL SUBMIT ANY MISSING OR INCOMPLETE INFORMATION
35 OR DOCUMENTS IDENTIFIED IN A NOTICE OF DEFICIENCIES NOT LATER THAN TEN
36 WORKING DAYS AFTER RECEIVING THE NOTICE. IF THE APPLICANT FAILS TO DO SO,
37 THE APPLICATION IS DENIED.

38 3. AN APPLICATION IS CONSIDERED ADMINISTRATIVELY COMPLETE UNDER
39 THIS SECTION ONLY IF THE APPLICANT HAS SUBMITTED ALL INFORMATION AND
40 DOCUMENTATION REQUIRED BY SUBSECTIONS F AND G OF THIS SECTION. THE
41 DEPARTMENT SHALL PLACE ADMINISTRATIVELY COMPLETE APPLICATIONS IN A QUEUE
42 FOR SUBSTANTIVE REVIEW AND SHALL CONDUCT THE SUBSTANTIVE REVIEW IN THE
43 ORDER IN WHICH THE ADMINISTRATIVELY COMPLETE APPLICATIONS ARE RECEIVED
44 BASED ON THE TIME STAMP PRESCRIBED IN SUBSECTION E OF THIS SECTION,
45 STARTING WITH THE FIRST APPLICATION THAT WAS SUBMITTED, WHEN THE
46 APPLICATION HAS BEEN DETERMINED TO BE ADMINISTRATIVELY COMPLETE OR WHEN
47 THE TIME FOR REVIEW AND APPEAL HAS EXPIRED.

1 4. FOR THE PURPOSES OF DETERMINING ELIGIBILITY UNDER THIS SECTION,
2 INCLUDING WHETHER THE COMMUNITY THAT IS IDENTIFIED PURSUANT TO SUBSECTION
3 F, PARAGRAPH 4 OF THIS SECTION IS AN UNSERVED RURAL COMMUNITY AND WHETHER
4 THE PROPOSED RETAIL LOCATION COMPLIES WITH SUBSECTION L OF THIS SECTION,
5 THE DEPARTMENT SHALL DETERMINE COMPLIANCE BASED ON THE FACTS AND
6 CIRCUMSTANCES THAT EXIST AT THE TIME THE DEPARTMENT PROVIDES WRITTEN
7 NOTICE THAT THE APPLICATION HAS ENTERED SUBSTANTIVE REVIEW.

8 5. THE DEPARTMENT SHALL CONDUCT A SUBSTANTIVE REVIEW OF
9 LATER-RECEIVED APPLICATIONS ONLY IF BEGINNING AN APPLICATION'S SUBSTANTIVE
10 REVIEW DOES NOT CAUSE AN EARLIER-RECEIVED APPLICATION WHOSE REVIEW OR
11 APPEAL IS ONGOING TO BECOME INELIGIBLE DUE TO THE LOCATION OF THE
12 APPLICANTS' PROPOSED MARIJUANA RETAIL LOCATIONS OR THE NUMBER OF LICENSES
13 REMAINING TO BE ISSUED PURSUANT TO THE RURAL OPPORTUNITY INITIATIVE.

14 6. IF TWO OR MORE APPLICATIONS BEGIN SUBSTANTIVE REVIEW AT THE SAME
15 TIME DUE TO THEIR ELECTRONIC TIME STAMPS AND THE APPLICATIONS EITHER SEEK
16 TO OPERATE MARIJUANA RETAIL LOCATIONS WITHIN TWENTY-FIVE MILES OF EACH
17 OTHER OR EXCEED THE NUMBER OF LICENSES REMAINING TO BE ISSUED PURSUANT TO
18 THE RURAL OPPORTUNITY INITIATIVE, THE DEPARTMENT SHALL CONDUCT A RANDOM
19 DRAWING BETWEEN THE APPLICATIONS AT A PUBLICLY NOTICED PROCEEDING WITHIN
20 TEN WORKING DAYS AFTER THE TIE IS IDENTIFIED. THE DEPARTMENT SHALL POST
21 THE RESULT ON ITS PUBLIC WEBSITE WITHIN ONE WORKING DAY AFTER THE DRAWING.

22 7. WITHIN SIXTY WORKING DAYS AFTER THE DEPARTMENT PROVIDES WRITTEN
23 NOTICE TO AN APPLICANT THAT THE APPLICATION HAS ENTERED SUBSTANTIVE
24 REVIEW, THE DEPARTMENT SHALL APPROVE THE APPLICATION AND ISSUE THE LICENSE
25 REQUIRED BY THIS SECTION OR SHALL DENY THE APPLICATION WITH A WRITTEN
26 STATEMENT OF THE SPECIFIC REASONS FOR DENIAL AND THE STATUTORY BASIS FOR
27 EACH REASON. A DENIAL MAY BE APPEALED PURSUANT TO TITLE 41, CHAPTER 6,
28 ARTICLE 10.

29 I. NOTWITHSTANDING TITLE 41, CHAPTER 6, ARTICLE 7.1 OR ANY OTHER
30 LAW, THE DEPARTMENT MAY DEFER THE COMMENCEMENT OF SUBSTANTIVE REVIEW FOR
31 AN ADMINISTRATIVELY COMPLETE APPLICATION UNTIL THE APPLICATION REACHES THE
32 FRONT OF THE QUEUE PRESCRIBED IN SUBSECTION H, PARAGRAPH 3 OF THIS
33 SECTION.

34 J. THE DEPARTMENT MAY ESTABLISH AN APPLICATION FEE FOR MARIJUANA
35 ESTABLISHMENT LICENSE APPLICATIONS SUBMITTED PURSUANT TO THIS SECTION.
36 THE DEPARTMENT MAY REFUND A PORTION OF THE APPLICATION FEE TO AN APPLICANT
37 THAT DOES NOT RECEIVE A LICENSE PURSUANT TO SUBSECTION H, PARAGRAPH 7 OF
38 THIS SECTION.

39 K. NOTWITHSTANDING ANY OTHER PROVISION OF THIS CHAPTER OR CHAPTER
40 28.1 OF THIS TITLE, EACH ENTITY THAT IS ISSUED A MARIJUANA ESTABLISHMENT
41 LICENSE PURSUANT TO SECTION 36-2854, SUBSECTION A, PARAGRAPH 1,
42 SUBDIVISION (g) AND A NONPROFIT MEDICAL MARIJUANA DISPENSARY REGISTRATION
43 CERTIFICATE PURSUANT TO SECTION 36-2803.01, SUBSECTION E:

44 1. IS NOT REQUIRED TO OPERATE THE ENTITY'S RETAIL LOCATION FOR MORE
45 THAN TWENTY-FOUR HOURS EACH WEEK.

46 2. SHALL OPEN THE ENTITY'S RETAIL LOCATION WITHIN EIGHTEEN MONTHS
47 AFTER BEING ISSUED A MARIJUANA ESTABLISHMENT LICENSE PURSUANT TO SECTION

1 36-2854, SUBSECTION A, PARAGRAPH 1, SUBDIVISION (g), OR THE MARIJUANA
2 ESTABLISHMENT LICENSE BECOMES INVALID.

3 3. MAY MOVE ITS RETAIL LOCATION ONLY TO ANOTHER UNSERVED RURAL
4 COMMUNITY THAT HAS NOT OPTED OUT OF THE RURAL OPPORTUNITY INITIATIVE
5 PURSUANT TO THIS SECTION BY SUBMITTING AN APPLICATION TO THE DEPARTMENT
6 THAT INCLUDES THE DOCUMENTATION REQUIRED BY SUBSECTION G OF THIS SECTION.

7 L. THE PROPOSED RETAIL LOCATION IDENTIFIED IN AN APPLICATION UNDER
8 THIS SECTION:

9 1. MUST BE LOCATED WITHIN THE BOUNDARIES OF THE UNSERVED RURAL
10 COMMUNITY THE APPLICANT SEEKS TO SERVE.

11 2. MUST BE LOCATED ON A PARCEL THAT IS AT LEAST TWENTY-FIVE MILES
12 FROM A MARIJUANA RETAIL LOCATION AS MEASURED FROM THE CLOSEST POINTS OF
13 BOTH PROPERTIES.

14 3. MAY NOT BE LOCATED IN UNINCORPORATED TERRITORY THAT IS
15 SURROUNDED ON ALL SIDES BY AN INDIAN RESERVATION.

16 M. THIS STATE AND ITS AGENCIES, EMPLOYEES AND AGENTS ARE NOT LIABLE
17 FOR RELYING IN GOOD FAITH ON INFORMATION OR DOCUMENTATION THAT IS
18 SUBMITTED OR PROVIDED PURSUANT TO THIS SECTION, INCLUDING PROPERTY OWNER
19 CONSENT SUBMITTED PURSUANT TO SUBSECTION G, PARAGRAPH 3 OF THIS SECTION,
20 LOCAL ZONING DOCUMENTATION SUBMITTED PURSUANT TO SUBSECTION G, PARAGRAPH 4
21 OF THIS SECTION AND AN OPT OUT ACTION SUBMITTED PURSUANT TO SUBSECTION D
22 OF THIS SECTION. THE DEPARTMENT DOES NOT OWE A DUTY TO ANY PERSON TO
23 INDEPENDENTLY VERIFY THE INFORMATION OR DOCUMENTATION EXCEPT AS EXPRESSLY
24 REQUIRED BY THIS SECTION. THE DEPARTMENT IS NOT LIABLE FOR ANY ERROR OR
25 OMISSION IN A LIST POSTED PURSUANT TO SUBSECTION C OF THIS SECTION.

26 N. FOR THE PURPOSES OF THIS SECTION:

27 1. "BOARD MEMBER" HAS THE SAME MEANING PRESCRIBED IN RULES ADOPTED
28 BY THE DEPARTMENT TO IMPLEMENT THIS CHAPTER AND CHAPTER 28.1 OF THIS
29 TITLE.

30 2. "PRINCIPAL OFFICER" HAS THE SAME MEANING PRESCRIBED IN RULES
31 ADOPTED BY THE DEPARTMENT TO IMPLEMENT THIS CHAPTER AND CHAPTER 28.1 OF
32 THIS TITLE.

33 3. "QUALIFIED APPLICANT" MEANS AN ENTITY THAT SUBMITS A COMPLETE
34 APPLICATION THAT SATISFIES ALL REQUIREMENTS OF THIS SECTION.

35 4. "UNSERVED RURAL COMMUNITY":

36 (a) MEANS A CITY, TOWN OR CENSUS-DESIGNATED AREA THAT HAS A
37 POPULATION OF LESS THAN FIFTY THOUSAND PERSONS AND CONTAINS ONE OR MORE
38 PARCELS OF PROPERTY THAT ARE AT LEAST TWENTY-FIVE MILES FROM ANOTHER
39 MARIJUANA RETAIL LOCATION, AS MEASURED FROM THE CLOSEST POINTS OF BOTH
40 PROPERTIES.

41 (b) DOES NOT INCLUDE UNINCORPORATED TERRITORY THAT IS SURROUNDED ON
42 ALL SIDES BY AN INDIAN RESERVATION.

43 5. "WORKING DAY" MEANS MONDAY THROUGH FRIDAY, EXCLUDING STATE
44 HOLIDAYS AND STATEWIDE FURLOUGH DAYS.

45 Sec. 4. Requirements for enactment; three-fourths vote

46 Pursuant to article IV, part 1, section 1, Constitution of Arizona,
47 sections 36-2803.01 and 36-2854, Arizona Revised Statutes, as amended by

1 this act, and section 36-2857.01, Arizona Revised Statutes, as added by
2 this act, are effective only on the affirmative vote of at least
3 three-fourths of the members of each house of the legislature."

4 Amend title to conform

And, as so amended, it do pass

DAVID LIVINGSTON
CHAIRMAN

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